

# Reinsurance Treaty - EX2025001 - 8

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|-----------------|-------------------------|
| Treaty Number:  | EX2025001               |
| Cedent:         | Example Cedent Inc.     |
| Reinsurer:      | Example Reinsurer Corp. |
| Effective Date: | 01 January 2025         |
| Expiry Date:    | 31 December 2025        |
| Treaty Type:    | Proportional            |

## QUOTA SHARE REINSURANCE TREATY

TREATY NUMBER: EX2025001\_8

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**\*\*BETWEEN\*\***

**\*\*EXAMPLE CEDENT INC.\*\***

(hereinafter referred to as "the Company" or "the Reinsured")

**\*\*AND\*\***

**\*\*EXAMPLE REINSURER CORP.\*\***

(hereinafter referred to as "the Reinsurer")

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## ARTICLE 1: GENERAL PROVISIONS

### 1.1 Treaty Period

This Treaty shall be effective from \*\*00:01 hours GMT on 1st January 2025\*\* to \*\*24:00 hours GMT on 31st December 2025\*\* (both days inclusive), hereinafter referred to as the "Treaty Period."

## 1.2 Territory

This Treaty applies to business underwritten worldwide, excluding those territories subject to international sanctions as recognized by the United Nations, European Union, United Kingdom, or United States of America.

## 1.3 Classes of Business Covered

This Treaty covers the following classes of business:

- Property Damage (Fire and Allied Perils)
- Business Interruption
- Theft and Burglary
- All Risks Insurance
- Engineering Insurance (excluding Nuclear Energy risks)
- General Accident Insurance

## 1.4 Business Excluded

The following classes are specifically excluded from this Treaty:

- Aviation (hull and liability)
- Marine (hull and cargo)
- Nuclear energy liability
- Terrorism (as defined in applicable legislation)
- War, invasion, and hostile acts
- Credit and Surety bonds
- Financial guarantee insurance
- Cyber risks
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## ARTICLE 2: SCOPE OF REINSURANCE

## 2.1 Quota Share Basis

The Reinsurer agrees to accept **\*\*60%\*\*** (sixty percent) quota share participation in respect of all policies and contracts of insurance and reinsurance falling within the scope of this Treaty, as defined in Article 1.3.

The Company shall retain for its own account **\*\*40%\*\*** (forty percent) of each and every risk.

## 2.2 Automatic and Facultative Obligatory Coverage

All business falling within the scope of this Treaty shall be ceded automatically to the Reinsurer. The Company shall have no option to withhold any risk from the Treaty, and the Reinsurer shall have no option to decline any risk properly falling within the Treaty terms.

## 2.3 Policy Attaching Basis

This Treaty covers all policies and contracts of insurance and reinsurance:

- Incepting during the Treaty Period, regardless of the date of loss; or
- Renewed during the Treaty Period; or
- Endorsements attaching during the Treaty Period

## 2.4 Maximum Limit per Risk

The Company's retention per risk shall not exceed **\*\*EUR 2,000,000\*\*** (Two Million Euros) any one risk, any one occurrence.

Accordingly, the Reinsurer's maximum liability per risk shall not exceed **\*\*EUR 3,000,000\*\*** (Three Million Euros), being 60% of the Company's maximum net line of **\*\*EUR 5,000,000\*\*** (Five Million Euros).

## 2.5 Catastrophe Accumulation Limit

The Reinsurer's maximum liability for all losses arising from any one event or catastrophe shall not exceed **\*\*EUR 50,000,000\*\*** (Fifty Million Euros).

For the purposes of this clause, "one event" shall mean one occurrence or series of occurrences arising out of one event, within a period of 168 consecutive hours.

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## **ARTICLE 3: PREMIUM**

### **3.1 Premium Basis**

The reinsurance premium shall be calculated on the basis of **\*\*60%\*\*** (sixty percent) of the gross written premium income of the Company in respect of all business falling within the scope of this Treaty.

### **3.2 Deposit Premium**

The Company shall pay a provisional deposit premium of **\*\*EUR 12,000,000\*\*** (Twelve Million Euros) payable in four equal quarterly installments as follows:

- 1st Quarter: EUR 3,000,000 due 15th January 2025
- 2nd Quarter: EUR 3,000,000 due 15th April 2025
- 3rd Quarter: EUR 3,000,000 due 15th July 2025
- 4th Quarter: EUR 3,000,000 due 15th October 2025

### **3.3 Premium Adjustment**

Within ninety (90) days following expiry of the Treaty Period, the Company shall provide a detailed statement of actual gross written premium. Any difference between the deposit premium and the actual reinsurance premium shall be settled within thirty (30) days of agreement of the adjustment.

### **3.4 Minimum and Deposit Premium**

The minimum and deposit premium for this Treaty is **\*\*EUR 10,000,000\*\*** (Ten Million Euros), which shall be fully earned regardless of loss experience or premium volume.

### **3.5 Premium Warranty**

The Company warrants that the estimated gross written premium for the Treaty Period is **\*\*EUR 20,000,000\*\*** (Twenty Million Euros). Should the actual gross written premium vary by more than **\*\*20%\*\*** (twenty percent) from this estimate, either party may request a review of the Treaty terms.

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# ARTICLE 4: COMMISSION

## 4.1 Provisional Commission

The Reinsurer shall allow the Company a provisional commission of **\*\*30%\*\*** (thirty percent) of the reinsurance premium payable under this Treaty.

## 4.2 Commission Components

The provisional commission covers:

- Acquisition costs
- Administration expenses
- Premium collection costs
- General overhead allocation

## 4.3 Sliding Scale Commission

In lieu of the provisional commission specified in Article 4.1, a sliding scale commission shall apply based on the loss ratio as follows:

| Loss Ratio   Commission Rate |     |
|------------------------------|-----|
| ----- -----                  |     |
| 0% - 50%                     | 35% |
| 51% - 55%                    | 33% |
| 56% - 60%                    | 31% |
| 61% - 65%                    | 29% |
| 66% - 70%                    | 27% |
| 71% - 75%                    | 25% |
| Over 75%                     | 23% |

**\*\*Loss Ratio Definition:\*\*** The loss ratio shall be calculated as:

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$$(\text{Net Losses Paid} + \text{Outstanding Loss Reserves} + \text{IBNR}) \div \text{Net Reinsurance Premium} \times 100$$

...

## 4.4 Commission Settlement

Commission adjustments arising from the sliding scale shall be calculated and settled simultaneously with the premium adjustment specified in Article 3.3.

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## ARTICLE 5: PROFIT COMMISSION

### 5.1 Profit Commission Calculation

In addition to the commission provided under Article 4, the Reinsurer shall allow the Company a profit commission calculated as follows:

**\*\*Profit Commission = 20% of Underwriting Profit\*\***

Where Underwriting Profit is defined as:

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Reinsurance Premium

Less: Reinsurance Commission (at sliding scale rate)

Less: Reinsurance Losses (paid and reserved)

Less: Contingency Reserve (3% of reinsurance premium)

= Underwriting Profit

...

### 5.2 Minimum Loss Ratio for Profit Commission

Profit commission shall only be payable if the loss ratio for the Treaty Period is less than **\*\*70%\*\*** (seventy percent).

### 5.3 Profit Commission Carry Forward

If the Treaty results in an underwriting loss in any year, such loss shall be carried forward and offset against profits in subsequent years before any profit commission becomes payable, provided the Treaty is renewed on substantially similar terms.

## **5.4 Payment Terms**

Profit commission shall be calculated and paid within one hundred and twenty (120) days following the expiry of the Treaty Period, based on accounts as at 31st December 2025.

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## **ARTICLE 6: LOSSES**

### **6.1 Loss Participation**

The Reinsurer shall participate in all losses, including allocated and unallocated loss adjustment expenses (ALAE and ULAE), in the proportion of **\*\*60%\*\*** (sixty percent) as specified in Article 2.1.

### **6.2 Definition of Loss**

"Loss" means all amounts paid or payable by the Company under policies covered by this Treaty, including:

- Claims payments
- Defense costs
- Loss adjustment expenses (allocated and unallocated)
- Legal costs necessarily incurred in the investigation, defense, or settlement of claims
- Interest on judgments or awards
- Court costs and arbitration expenses

### **6.3 Loss Settlement**

The Reinsurer shall follow the settlements of the Company in all matters relating to losses covered under this Treaty. The Company shall give prompt notice to the Reinsurer of all losses which may involve the Reinsurer.

### **6.4 Ex-Gratia and Extra-Contractual Obligations**

Ex-gratia payments and extra-contractual obligations (ECO) shall be covered under this Treaty, provided:

- The Company obtains prior written consent from the Reinsurer for ex-gratia payments exceeding EUR 100,000 per claim
- Such payments are reasonable and made in good faith
- The Reinsurer is given full opportunity to be associated with the claim handling

## **6.5 Large Loss Notification**

The Company shall notify the Reinsurer within **\*\*48 hours\*\*** of becoming aware of any loss or series of losses arising from one event where the Reinsurer's estimated ultimate liability may exceed **\*\*EUR 500,000\*\*** (Five Hundred Thousand Euros).

## **6.6 Loss Reserves**

The Company shall establish and maintain adequate loss reserves in accordance with generally accepted actuarial principles and local regulatory requirements. The Reinsurer shall participate in all such reserves in the proportion of 60%.

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# **ARTICLE 7: ACCOUNTS AND PAYMENTS**

## **7.1 Quarterly Bordereaux**

The Company shall render to the Reinsurer detailed quarterly bordereaux within **\*\*thirty (30) days\*\*** following the end of each calendar quarter, showing:

- Gross premiums written
- Reinsurance premiums ceded
- Commissions due
- Losses paid and outstanding
- Loss reserves (case reserves and IBNR)
- Net balance due to or from the Reinsurer

## **7.2 Annual Statement**



Within **\*\*ninety (90) days\*\*** following expiry of the Treaty Period, the Company shall provide a comprehensive annual statement certified by a qualified actuary, including:

- Final premium adjustment
- Final commission calculation
- Profit commission calculation (if applicable)
- Complete loss development
- Outstanding loss reserves

## **7.3 Payment Terms**

All balances due under this Treaty shall be payable within **\*\*thirty (30) days\*\*** of the date of the statement. Payments shall be made in **\*\*EUR\*\*** (Euros) to the bank account specified by the receiving party.

## **7.4 Currency**

The currency of this Treaty is **\*\*EUR\*\*** (Euros). All premiums, losses, and other amounts shall be reported and settled in EUR.

For business written in currencies other than EUR, conversion shall be made at the exchange rate prevailing on:

- For premiums: the date of policy inception
- For losses: the date of loss payment or reserve establishment

## **7.5 Interest on Overdue Balances**

Any amount not paid when due shall bear interest at the rate of **\*\*EURIBOR + 2%\*\*** per annum, calculated on a daily basis from the due date until the date of payment.

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# **ARTICLE 8: SPECIAL PROVISIONS**

## **8.1 Portfolio Withdrawal**

Either party may terminate this Treaty by giving **\*\*ninety (90) days\*\*** written notice to the other party. In the event of such termination:

- The Treaty shall cease to attach to new or renewal business from the effective date of termination
- All policies incepting prior to the termination date shall remain covered until their natural expiry
- A portfolio withdrawal commission of **\*\*20%\*\*** of the unearned premium reserve shall be payable by the Company to the Reinsurer

## **8.2 Cancellation**

This Treaty may be cancelled only by mutual written agreement of both parties. In the event of cancellation by mutual agreement, terms of the run-off shall be negotiated between the parties.

## **8.3 Insolvency**

In the event of the insolvency of the Company, the reinsurance provided by this Treaty shall be payable directly to the Company, to the liquidator, receiver, or statutory successor of the Company, on the basis of the liability of the Company under the policies reinsured, without diminution because of the insolvency of the Company.

## **8.4 Offset**

The Reinsurer shall have the right to offset any balance due from the Company under this Treaty or any other agreement between the parties against any balance due to the Company.

## **8.5 Access to Records**

The Reinsurer or its authorized representatives shall have access at all reasonable times to all records of the Company relating to business covered under this Treaty, including:

- Policy files and documentation
- Claims files and loss adjusters' reports
- Underwriting guidelines and procedures
- Financial records and accounts

Such access shall be available during the Treaty Period and for **\*\*seven (7) years\*\*** following expiry or termination.

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## **ARTICLE 9: DEFINITIONS**

### **9.1 Ultimate Net Loss**

"Ultimate Net Loss" means the total sum paid or payable by the Company in settlement of losses, including all allocated and unallocated loss adjustment expenses, after deduction of all recoveries, salvages, and other reinsurances but before deduction of reinsurance under this Treaty.

### **9.2 One Risk**

"One Risk" means the total insurance or reinsurance in force on one subject matter of insurance, whether covered under one or more policies.

### **9.3 One Event/Occurrence**

"One Event" or "One Occurrence" means all individual losses arising out of one event or occurrence, or a series of events or occurrences arising from one originating cause, within a period of **\*\*168 consecutive hours\*\***.

The Company shall have the right to choose the commencement of the 168-hour period, provided that only one such period shall apply with respect to one event.

### **9.4 IBNR**

"IBNR" means Incurred But Not Reported losses, being an estimate of losses that have occurred but have not yet been reported to the Company as at the reporting date.

### **9.5 Gross Written Premium**

"Gross Written Premium" means the total premium written by the Company before deduction of any commissions, brokerage, taxes, or other deductions, but after deduction of policy cancellations and return premiums.

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## **ARTICLE 10: CLAIMS COOPERATION AND CONTROL**

## **10.1 Claims Handling Authority**

The Company shall have full authority to handle, settle, and adjust all claims falling within the scope of this Treaty. The Reinsurer agrees to follow the fortunes of the Company.

## **10.2 Large Claims Cooperation**

For claims where the Reinsurer's estimated liability exceeds **\*\*EUR 1,000,000\*\*** (One Million Euros), the Company shall:

- Provide prompt and detailed notification to the Reinsurer
- Consult with the Reinsurer before making settlement offers
- Provide the Reinsurer opportunity to participate in claim investigations
- Consider in good faith any recommendations made by the Reinsurer

## **10.3 Legal Proceedings**

The Reinsurer shall have the right, at its own expense, to associate with the Company in the defense of any claim or legal proceeding where the Reinsurer's interest may be involved.

## **10.4 Salvage and Recovery**

All salvages, recoveries, and subrogation proceeds shall be applied as if recovered prior to the loss and shall be shared between the Company and the Reinsurer in the proportions of their respective interests.

The Reinsurer shall pay its proportion (60%) of all reasonable costs and expenses incurred in obtaining such recoveries.

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# **ARTICLE 11: ERRORS AND OMISSIONS**

## **11.1 Inadvertent Error Protection**

Inadvertent delays, errors, or omissions in reporting or remitting amounts due under this Treaty shall not relieve either party from any liability which would have attached had such delay, error, or omission not occurred, provided that:

- Such errors or omissions are rectified as soon as practicable after discovery
- Notification is given to the other party within **thirty (30) days** of discovery
- No prejudice has been caused to the other party

## **11.2 Time Limitation**

Any error or omission not reported within **twelve (12) months** of the date it should reasonably have been discovered shall be deemed waived unless it can be demonstrated that the error or omission could not reasonably have been discovered within that period.

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## **ARTICLE 12: ARBITRATION**

### **12.1 Arbitration Clause**

Any dispute or difference arising out of or in connection with this Treaty, including any question regarding its existence, validity, interpretation, or termination, shall be referred to and finally resolved by arbitration in accordance with the Rules of Arbitration of the International Chamber of Commerce (ICC).

### **12.2 Arbitration Details**

- **Number of Arbitrators:** Three (3)
- **Seat of Arbitration:** London, United Kingdom
- **Language:** English
- **Governing Law:** English Law

### **12.3 Appointment of Arbitrators**

Each party shall appoint one arbitrator, and the two arbitrators so appointed shall appoint the third arbitrator who shall act as chairman. If either party fails to appoint an arbitrator within thirty (30) days of receipt of a request to do so, or if the two arbitrators fail to agree

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